

Sales Target vs Actual Performance Analysis

Business Insights & Recommendations

Analysis Period: 2023–2025

Tools Used: PostgreSQL | Power BI

Business Insights

1. Overall Sales Performance

The business achieved **100.21% of the overall sales target**, with actual sales of approximately **₹2.46 billion** against a target of around **₹2.45 billion**. This resulted in a positive sales variance of approximately **₹5.23 million**.

Overall, sales performance is healthy, but the margin above target is relatively small.

2. Sales Performance Improved Over Time

Sales achievement improved gradually across the three years:

- **2023:** 100.06%
- **2024:** 100.18%
- **2025:** 100.39%

The improvement is small in percentage terms, but the positive sales variance increased from about **₹0.42 million in 2023 to ₹3.13 million in 2025**.

3. Regional Performance

All regions performed close to their sales targets. **East, Central, and South** exceeded their targets, while **West and North** were slightly below target.

The relatively small difference between regions shows that overall sales performance is fairly balanced geographically.

4. North Needs Attention

North achieved **99.87%** of its sales target and recorded a negative sales variance of approximately **₹0.95 million**. It also had comparatively lower order and unit achievement.

North is therefore the clearest regional area where improvement could have a direct impact on overall performance.

5. Sales Achievement is Higher Than Order and Unit Achievement

Sales achievement is around or above 100% across the regions, while order and unit achievement are generally in the **90–95% range**.

This suggests that revenue performance is being supported by **higher-value sales or product mix rather than sales volume alone**. This difference is worth monitoring because strong revenue performance with lower volume achievement may not always be sustainable.

6. Laptops Remain the Largest Revenue Category

Laptops are the largest sales category, but actual sales remained slightly below the target.

Because of the category's large contribution to total revenue, even a relatively small percentage gap creates a meaningful absolute sales shortfall.

7. Smartphones and Televisions are Strong Contributors

Smartphones and Televisions are also major revenue categories and performed at or above their respective sales targets.

Their performance helped offset some of the shortfalls from other categories.

8. Category Performance is Closely Balanced Around Target

Most categories are performing close to the 100% target level. Some are above target, while others are slightly below.

This means the overall result is not dependent on one exceptional category. Instead, the positive and negative category variances largely balance each other.

9. Regional Results Can Hide Category-Level Gaps

A region can be close to target overall while individual categories within that region perform differently.

For example, **North achieved 99.87% overall**, but some categories performed above target while others were noticeably below it. This shows why regional performance should be reviewed together with category-level performance.

Recommendations

1. Focus on North Region

Review the categories, order volumes, and unit performance contributing to North's shortfall. The focus should be on identifying the specific areas responsible for the gap rather than treating the entire region as underperforming.

2. Review Laptop Performance

Since Laptops are the largest revenue category, investigate the reasons behind the target gap. Product demand, pricing, availability, and category mix can be reviewed to identify where the shortfall is coming from.

3. Investigate the Sales-to-Volume Difference

The gap between sales achievement and order/unit achievement deserves further analysis. Reviewing average order value, product mix, and unit-level revenue can help explain whether higher-value products are compensating for lower volume.

4. Learn From Stronger Regions

South and East have performed above their sales targets. Their category mix and sales patterns can be compared with weaker regions to identify practices or product segments that may be contributing to stronger performance.

5. Monitor Repeated Category Underperformance

Categories that remain below target across multiple periods should receive more attention than categories with a one-time shortfall. Tracking monthly achievement can help identify recurring problems early.

6. Track Sales, Orders and Units Together

Sales achievement alone does not give the complete picture. Regular monitoring of **Sales Achievement %**, **Sales Variance**, **Order Achievement %**, and **Unit Achievement %** will provide a better view of both revenue and sales volume performance.

7. Use Category and Subcategory Drill-Down

When a region or category falls below target, drill down to the subcategory level to identify where the gap is concentrated. This can help move from a broad performance issue to a more specific business action.

Final Conclusion

Overall, the business is performing slightly above its sales target and has shown gradual improvement from 2023 to 2025. The main opportunity is not a major overall sales shortfall, but understanding the smaller gaps across regions, categories, orders, and units. North and the Laptop category stand out as areas worth closer attention, while stronger regions and categories can provide useful benchmarks. Combining sales, order, unit, regional, and category-level analysis can help management identify performance gaps earlier and take more focused action.